

Verdant Health Advisory LLC

www.verdanthealthadvisory.com

July 25, 2020

Angela Mahoney

General Manager

Johnson, Cross and Gibbs

Re: *Service Line Assessment*

Dear Ms. Mahoney:

This letter confirms the terms on which we will perform a service line assessment for Johnson, Cross and Gibbs. It sets out what we will do, who will do it, what it will cost, and the terms we work under. If anything in it departs from your understanding of our conversations, please telephone me before you sign. A countersigned letter is an expensive place to discover a disagreement.

Scope of Work

The assessment covers the service lines identified with your finance staff during our preliminary discussions. For each line we will construct a contribution margin view from the output of your existing cost accounting, examine volume and payer mix across the trailing periods your systems can support, and identify the operational drivers that account for the result. We will document our sources as we go. Every figure in a deliverable will tie back to a workpaper we can produce on request, and we would rather you ask.

Several things sit outside this scope, and I would rather name them here than in a later conversation. We will not rebuild or correct your cost accounting system. We will not audit the data you give us; this engagement is not an audit, a review, or a compilation, and it produces no opinion on your financial statements. We will not value any physician arrangement or opine on the fair market value of compensation unless you engage us separately for that purpose. Where a line's economics turn on a compensation arrangement, we will identify the dependency in writing and stop there. And where your data will not support a conclusion, we will report that the data will not support a conclusion. That is a finding of its own, and clients are generally better served by hearing it than by receiving a number we cannot defend.

Approach

We work findings first. Each phase closes with a written record of what we examined and what it showed, and we will put interim results in front of you as they firm up rather than holding everything for a single presentation at the end. Where we make recommendations, they will be labeled as recommendations and set apart from the findings that support them. We are firm about that separation. A suggestion later quoted back as a conclusion has caused this industry more difficulty than any arithmetic error I have seen.

This year's volume disruption complicates any trailing-period view, and we intend to handle the affected months explicitly rather than smoothing them into an average that describes nothing. Expect us to present the affected and unaffected periods separately, and to be plain about which of the two we think should inform a decision. Where we cannot separate them cleanly, we will say that as well.

The Engagement Team

Susan Clark, Principal, will lead the assessment. Service line economics is her work, and the contribution margin model and its assumption log are hers to own. Daniel Alvarado, Senior Consultant, will take the compensation-related questions that arise where a line depends on a physician arrangement; he treats that vocabulary as a term of art, which is precisely why we send him into rooms where counsel is reading. Patricia Moore, Analyst, will work the revenue cycle. She will be the person asking your billing staff direct operational questions and writing the answers down as given. I will read every deliverable before it leaves this office.

Our point of contact for scheduling, data requests, and any matter requiring a decision on your side will be Angela Mahoney, General Manager. We will route requests through your office unless you direct otherwise, and we will not go around it to save ourselves a day.

Fee and Commencement

Our fee for the assessment is \$53,000, fixed for the scope described above. Work commences August 4, 2020, and we plan on approximately seven months from commencement to final deliverable. If you ask us to expand the scope, we will price the addition in writing and will not begin it until you have agreed to the price.

Fees and Payment

The fixed fee will be invoiced in equal monthly installments across the term of the assessment, payable within thirty days of the invoice date. Reasonable out-of-pocket

expenses, principally travel and any extract charges levied by your systems vendors, are billed at cost and itemized on the invoice. We do not mark up expenses.

Term and Termination

This engagement begins on commencement and continues until we deliver the final assessment or either of us terminates it. Either party may terminate on fifteen days' written notice, for any reason or none. On termination you will owe fees for work performed through the effective date, prorated against the fixed fee, together with expenses incurred, and we will deliver our work product in whatever state it has then reached.

Confidentiality

We will treat the information you give us as confidential, will use it only for this engagement, and will not disclose it outside this firm except as you direct in writing or as law or professional standards require. Members of the engagement team who handle patient-identifiable information will do so under your policies, and we ask *that identifiers be removed before transmission* wherever the analysis does not require them. We ask the same confidentiality from you as to our methods, our workpapers, and our fee arrangements.

Limitation of Liability

Our aggregate liability arising out of this engagement, whether framed in contract, in tort, or on any other theory, is limited to the fees actually paid to us under it. Neither party is liable to the other for indirect, incidental, or consequential damages, including lost profits, however characterized. This limitation does not extend to our own fraud or willful misconduct. Our deliverables are prepared for your internal use; if you intend to furnish one to a third party who may rely on it, *please raise it with us first so we can address the reliance in writing rather than by silence.*

Governing Law

This letter is governed by the laws of the state in which our principal office is located, without regard to its conflict of laws rules. Any dispute between us that we cannot resolve directly will be submitted to mediation before either party commences litigation.

If these terms are acceptable, please sign below and return one executed copy to us. We are glad to be doing this work for Johnson, Cross and Gibbs. I will tell you now

that a competent assessment usually surfaces at least one result the client would rather not have heard, and in my experience that is the part of it that earns the fee.

Very truly yours,

Laura Brown

Managing Partner

Date: July 25, 2020

Angela Mahoney

General Manager, Johnson, Cross and Gibbs

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